CUSTOMER DUE DILIGENCE (CDD) REPORT
Risk-Based Customer Assessment

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1. Customer Information

Name: Rajiv Mehta

Customer Type: Individual (Business Owner – Import/Export)

Business Activity Textile Machinery Import — International Trade

Account Type Business Current Account

KYC Status: Verified

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2. Nature of Relationship

Business current account maintained for import-export transactions involving domestic and cross-border fund transfers. Customer declared primary activity as textile machinery procurement from UAE and Singapore-based suppliers. Account activity has been consistent with this declared purpose throughout the review period.

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3. Due Diligence Performed

A. Identity Verification

Document Type	Detail	Status
PAN Card	Verified against IT Department records	**Verified**
Aadhaar Card	Address validated; demographic match confirmed	**Verified**
Passport	Reviewed for international remittance purposes	**Verified**
GST Registration Certificate	GSTIN validated on GST portal	**Verified**
Bank Statement (6 months)	Reviewed for transaction history consistency	**Reviewed**

B. Screening Checks

PEP Check: No match found. One partial name match returned on World-Check for "Rajiv Mehta" reviewed and cleared as false positive based on date of birth and nationality mismatch.

Sanctions: No match on OFAC SDN, UN Consolidated List, or MHA/UAPA list.

Adverse Media: One news article found referencing a different individual with the same name unrelated to this customer based on geographic and biographical details. Cleared as false positive and documented for audit purposes

C. KYB/UBO Identification

Customer operates as a sole proprietor under trade name Mehta Textile Machinery Imports. No separate legal entity registered. As the sole proprietor, Rajiv Mehta is identified as the Ultimate Beneficial Owner (UBO) with 100% ownership and control. No additional UBO identification required. Business registration documents (Udyam Certificate, GST Certificate) reviewed and verified against KYC documentation no discrepancies found.

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4. Risk Assessment Factors

Risk Factors	Detail	Risk Level
Customer type	Individual sole proprietor- import/export	**Low**
Geographic Exposure	Remittances to UAE & Singapore (moderate-risk jurisdictions)	**Medium**
Transaction Volume	Business avg. INR 35-40 lakh; 8-10 outward remittances	**Medium**
Product/Channel	Business current account, wire transfers	**Medium**
PEP Exposure	NO PEP status confirmed	**Low**
Sanction Exposure	No sanctions match confirmed	**Low**
Adverse Media	No credible adverse media linked to customer	**Low**
Large transaction	INR 18 lakh inward transfer- export invoice verified	**Medium**
OVERALL RISK RATING		**MEDIUM -HIGH**

Customer does not present immediate high-risk indicators (no PEP, no sanctions exposure). However, cross-border remittances to UAE and Singapore jurisdictions with moderate FATF risk ratings combined with an average monthly volume of INR 35–40 lakh and a large inward transfer of INR 18 lakh, collectively support a Medium-High risk classification under a risk-based approach consistent with PMLA and RBI KYC Master Directions.

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5. Observations

Customer's account activity reflects regular outward remittances to two UAE-based entities and one Singapore-based supplier, consistent with declared textile machinery import business. No cash-intensive transactions observed. One large inward transfer of ₹18 lakh in October 2025 was queried, customer provided export invoice which was reviewed and found satisfactory. No structuring patterns detected.

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6. ENHANCED DUE DILIGENCE (EDD) ASSESSMENT

Given the Medium-High risk rating, an EDD assessment was considered. **Full EDD was not triggered** at this stage as the customer's transaction profile is consistent with declared business activity, no suspicious structuring has been detected, no FATF grey-list jurisdictions are involved, and supporting documentation for the large inward transfer (export invoice, INR 18 lakh, October 2025) was reviewed and found satisfactory.

EDD Trigger Conditions (forward-looking): EDD will be escalated if

a) remittance destinations change to FATF grey-listed or blacklisted jurisdictions;
b) cash transactions exceed INR 10 lakh in a single instance;
c) structuring patterns are detected; or
d) overall risk rating is upgraded by the monitoring team

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7. Recommended Controls

- Monthly transaction monitoring review given **Medium-High** risk rating.
- Re-KYC due within 2 years per RBI KYC Master Directions Para 38.
- Trigger-based escalation if single transaction exceeds ₹10 lakh cash or if remittance destination changes to a FATF grey-listed jurisdiction. Senior Compliance Officer to be notified if risk rating is upgraded.

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8. STR / SAR FILING DECISION

STR STATUS: NO GROUNDS FOR FILING AT THIS TIME

No Suspicious Transaction Report (STR) filed at this time. Transaction activity is consistent with declared business purpose. No structuring, unusual patterns, or indicators of money laundering or terrorist financing detected during this review period. Matter to be reassessed at next monitoring cycle or upon triggering of escalation conditions listed in Section 7.

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9. Compliance Rationale

While the customer does not present immediate high-risk indicators such as sanctions or PEP exposure, the nature of business and transaction profile necessitate enhanced monitoring under a risk-based approach. This assessment is consistent with FATF Recommendation 10 (Customer Due Diligence), RBI KYC Master Directions Para 38 (periodic updation of KYC), and PMLA Rule 9 (maintenance of records and ongoing due diligence). The Medium-High risk classification reflects cross border exposure and transaction volume rather than any confirmed financial crime indicators.

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10. Analyst Details

Prepared By: Ruchi Rajbhar

Role: Compliance Analyst (Sample Project)

Date: 12th February 2026

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11. Disclaimer

This is a simulated report created for educational and portfolio purposes to demonstrate understanding of Customer Due Diligence (CDD) in AML/KYC compliance.